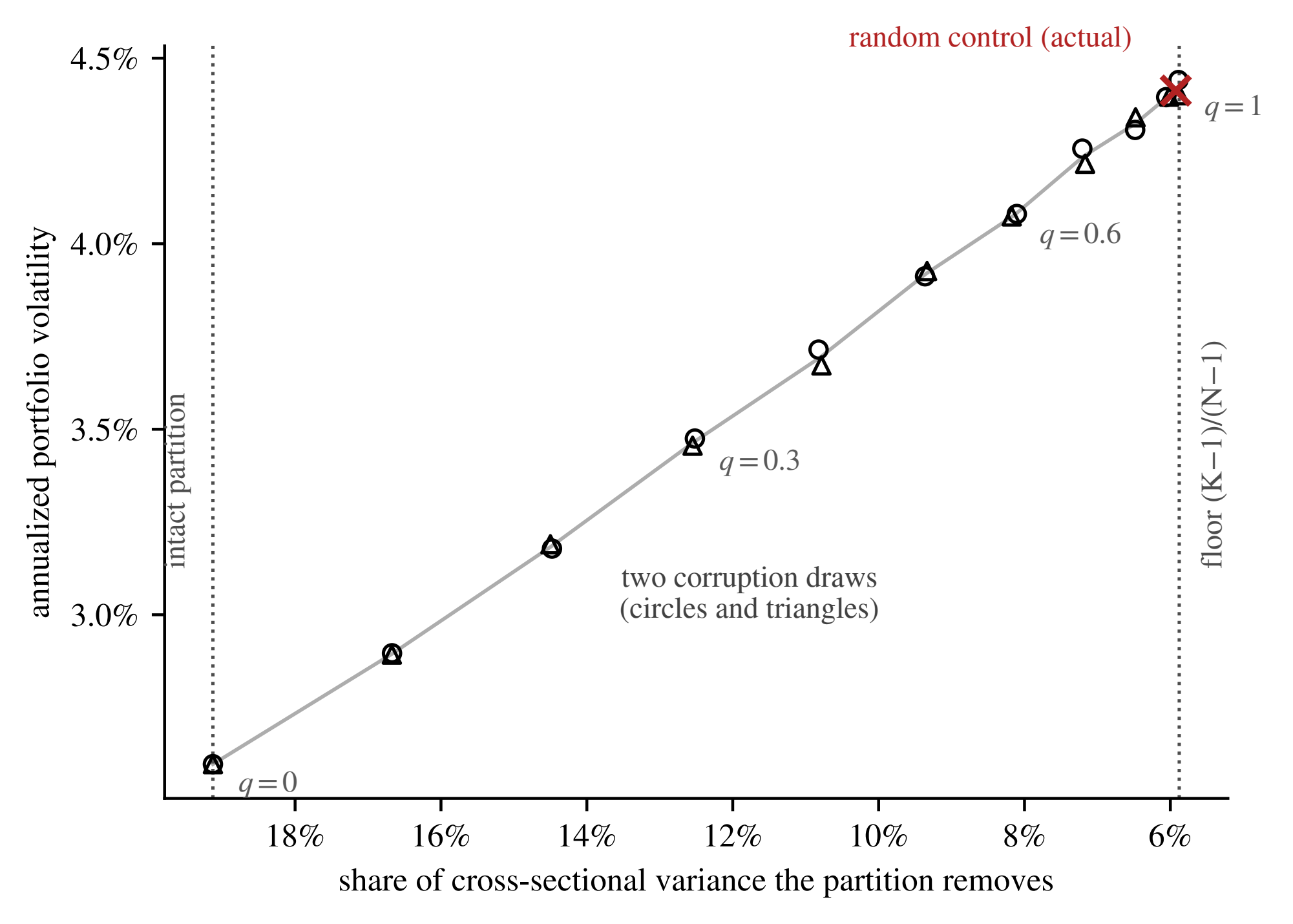
random control (actual)
4.5%
4.0%
3.5%
3.0%
annualized portfolio volatility
intact partition
floor (K−1)/(N−1)
$q = 1$
$q = 0.6$
$q = 0.3$
$q = 0$
two corruption draws
(circles and triangles)
18%
16%
14%
12%
10%
8%
6%
share of cross-sectional variance the partition removes